CUSTOMER RETENTION PLAYBOOK

Decoding Customer Value: A SQL-Driven Retention Strategy

Objective

The objective of this retention playbook is to identify what the most valuable customers look like, measure how much of current revenue depends on promotions, and build a data-backed retention strategy that reduces discount dependency without hurting sales.

The playbook seeks to determine whether the discount and promo program is actually building a loyal customer base, or just attracting one-time bargain hunters, while providing actionable recommendations that help the brand protect margins without losing volume.

Additionally, it aims to create a data-backed description of the brand's most valuable customer type, specific enough that a marketing team could use it to make targeting decisions today.

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CUSTOMER METRICS

1. Promo Dependency

Promo Dependency takes in account 2 factors: Discount Applied and Promo Code Used. Binary depiction was used to find the Promo Dependency score which came out to be 0 (No Dependency) or 2 (High Dependency) and was later scaled between 0 to 10 like other metrics.

This metric helps identify whether customers purchase because they genuinely value the brand or because they are motivated by discounts and promotional offers.

2. Customer Lifetime Value (Proxy)

Since the dataset does not contain actual customer lifetime revenue, a CLV Proxy was created to estimate long-term customer value. The metric combines Purchase Amount (USD), Previous Purchases, and Frequency of Purchases.

Customers with higher CLV Proxy scores are expected to generate more revenue over time through larger purchases and repeat buying behaviour.

This metric helps identify the customers who contribute the most value to the business and should therefore be prioritized for retention efforts.

3. Loyalty Score A

Loyalty Score A was created using average of Previous Purchases, Frequency of Purchases, and Promo Dependency.

This score measures repeat purchase behaviour, purchase frequency, and independence from promotions. Customers who purchase frequently without relying on discounts receive higher scores.

4. Loyalty Score B

Loyalty Score B was created using average Previous Purchases, Frequency of Purchases, and Subscription Status.

This score measures customer engagement through repeat purchases, purchase frequency, and membership status. However, it does not account for promotional dependence.

Choosing the best of Loyalty Score A and Loyalty Score B

Loyalty Score B measures repetitive behaviour and membership status but completely ignores Promo Dependency. A customer can be using discounts heavily and still be getting a high Loyalty Score B which defeats the main objective.

Loyalty Score A measures repeat behavior, promo independency and purchase frequency which maps directly to the project's central idea of loyalty. Ultimately, **Loyalty Score A** was chosen because it aligns better with the business problem and focuses on loyalty versus promotional dependence.

5. Satisfaction Tier and CSAT Proxy

Satisfaction Tier was created using Review Rating. Customers with a review rating above the overall average review rating were classified as High Satisfaction (1), while the remaining customers were classified as Low Satisfaction (0).

This metric provides a simple way to distinguish customers who report higher-than-average satisfaction from those who do not.

Since direct customer satisfaction survey data was unavailable, the proportion of customers classified as High Satisfaction was used as a CSAT Proxy which resulted to a value of 49.67%

CUSTOMER SEGMENTATION

Customers were segmented using two dimensions:

- Customer Lifetime Value (CLV Proxy)
- Loyalty Score

Customers above the average CLV Proxy were classified as High Value, while customers above the average Loyalty Score were classified as High Loyalty.

This resulted in four customer segments:

1. **Platinum Champions:** High CLV + High Loyalty

These customers generate the highest long-term value for the business. They purchase frequently, spend more than average, and show strong loyalty to the brand.

2. **At-Risk High-Value:** High CLV + Low Loyalty

These customers contribute significant revenue but have not developed strong loyalty. They are more vulnerable to competitor offers and often exhibit higher promotional dependence.

3. **Emerging Devotees:** Low CLV + High Loyalty

These customers are highly engaged with the brand but currently generate lower value. They represent an opportunity for future growth through upselling and cross-selling initiatives.

4. **Low-Engagement Casual:** Low CLV + Low Loyalty

These customers purchase infrequently, contribute relatively low value, and show weak long-term engagement. The business should carefully evaluate whether continued promotional investment in this group is justified.

PROMOTIONAL SUNSET PLAN

Since Platinum Champions are already contributing a lot to the total revenue despite being promo independent and Emerging Devotees constitute almost negligible share of the customer base, our main focus should be on At-Risk High Value Customers and Low-Engegement Casuals.

At-Risk High-Value customers contribute significant revenue but remain vulnerable to discount dependence, making them the highest-priority segment for retention.
Low-Engagement Casuals must first prove that promotional spending on them creates future value.

PHASE 1: AT-RISK HIGH VALUE

➔ **Segment Overview**
High CLV, Low Loyalty, 75.5% are promo dependent

➔ **Why This Segment?**
Generates substantial revenue but is dependent on discounts

➔ **Trigger Behaviour**
At-Risk High Value customers with high promo dependency.
i.e. Promo Dependency = 2

➔ **Action Plan & Rollout Timeline**

Stage	Action
1. Identify Eligible Customers	Identify At-Risk High-Value customers who have high CLV but still show promotional dependence. They are the primary target for margin improvement initiatives.
2. Introduce Alternative Benefits	Instead of immediately removing discounts, begin offering loyalty-based incentives such as reward points, member-only perks, early access to new collections, free shipping

	above a spending threshold, or exclusive product previews. The objective is to shift customer motivation from price savings to membership value.
3. Run a Controlled Pilot	Select a portion of the eligible customers and replace their regular discount campaigns with loyalty-based benefits. Keep another group on the existing discount strategy as a control group. This allows the brand to measure whether customers continue purchasing without relying on discounts.
4. Evaluate Customer Response	Compare both groups on purchase frequency, revenue generated, repeat purchase behaviour, and customer engagement. If the loyalty-based group performs similarly to the discount-based group, it suggests that discounts are no longer necessary to drive purchases.
5. Scale the Strategy	Expand the loyalty-first approach to a larger share of At-Risk High-Value customers. Discounts should become occasional retention tools rather than routine purchase incentives. Promotions can be reserved for major sale events or customers showing signs of disengagement.
6. Long-Term Policy	Establish a "loyalty before discounts" approach. High-value customers should primarily receive experiential benefits (VIP access, rewards, early launches, premium service) while discounts are used selectively and only when customer behaviour indicates genuine risk of churn.

➔ **Expected Margin Impact**

- Higher profit margin per order.
- Reduced promotional spending.
- Small risk of short-term revenue decline.

➔ **Success Metrics**

Metric	Success Looks Like
Promo Dependency	Lower than current segment average
CLV Proxy	Remains stable or improves
Purchase Amount (USD)	No material decline
Frequency of Purchases	No material decline
Loyalty Score	Improves over time

PHASE 2: LOW-ENGAGEMENT CASUALS

➔ **Segment Overview**
Low CLV, Low Loyalty, 45% are promo dependent

➔ **Why This Segment?**
Represents the largest customer group but contributes relatively low value per customer and shows weak loyalty.

➔ **Trigger Behaviour**
Low-Engagement Casual customers with high promo dependency.
i.e. Promo Dependency = 2

➔ **Action Plan & Rollout Timeline**

Stage	Action
1. Identify Eligible Customers	Identify Low-Engagement Casuals with low CLV, low loyalty, and high promotional dependence. These customers buy infrequently and have not yet demonstrated long-term value to the business.
2. Targeted Reactivation Campaigns	Instead of sending discounts to the entire segment, offer personalized win-back campaigns. For example, a customer who has not purchased for 60 days may receive a limited-time offer, similar to how Zomato or Uber sends special coupons only to inactive users.
3. Test Discount Effectiveness	Split customers into two groups. One group receives a discount, while the other receives a non-price incentive such as free shipping, bundle recommendations, or new arrival alerts. This helps determine whether discounts are actually driving purchases or simply reducing margins.
4. Evaluate Customer Response	Measure which group shows better conversion and repeat purchase behaviour. If customers only purchase when deep discounts are offered and

	never return, the brand should reconsider investing promotional spend in this segment.
5. Reduce Blanket Promotions	Stop sending regular promotional campaigns to the entire segment. Discounts should only be used when there is evidence that they improve repeat purchases, not just one-time sales.
6. Long-Term Policy	Treat promotions as a customer acquisition and reactivation tool rather than a retention strategy. Customers who fail to engage after targeted campaigns should receive minimal promotional investment, allowing resources to be redirected toward higher-value segments.

➔ **Expected Margin Impact**

- Lower promotional waste.
- Better allocation of marketing budget.
- Reduced acquisition costs.

➔ **Success Metrics**

Metric	Success Looks Like
Previous Purchases	Increases over time
Frequency of Purchases	Increases over time
Loyalty Score	Improves over time
CLV Proxy	Improves over time
Promo Dependency	Does not increase materially

IDEAL CUSTOMER PROFILE

The strongest ICP candidate comes from Platinum Segment. The data that supports this observation is:-

Metric	Value
Customers	834
Avg CLV	11,858.78
Avg Purchase Amount	63.61
Avg Previous Purchases	35.48
Avg Purchase Frequency	5.52
Avg Loyalty Score	8.19
Promo Dependency	0.00
Avg Age	45
Female %	54.7%

Demographic
- Age: Predominantly 38–52 years
- Gender: Slight female skew (55% female, 45% male)
- Not strongly gender-dependent

Behavioral
- Shops frequently
- High purchase history (35+ previous purchases)
- Extremely loyal and does not require discounts to buy
- Leaves stable ratings and consistently returns to the brand

Value Characteristics
- Highest CLV among all segments and generates long-term revenue
- Lower acquisition risk with Higher retention probability

Purchase Mindset

- Buys because of brand preference, not promotions
- Trusts the brand and values product experience over discounts
- Has developed habitual purchasing behavior

Business Value

- Best retention ROI
- Lowest discount burden
- Highest lifetime profitability

Underleveraged Segment #1

Gender	Share	Avg CLV	Loyalty
Male	68%	6186	4.61
Female	32%	6075	6.61

Observations:
Females are only 32% of customers but their loyalty is 43% higher than males
Males rely more heavily on promotions but females show zero promo dependency

Conclusion:
Females are already highly loyal and less discount sensitive but they are underrepresented in the customer base. So instead of chasing more male customers through promotions, growing the female customer base may create more future Platinum Champions.

Underleveraged Segment #2

Category	Customers	CLV
Clothing	1737	6159
Accessories	1240	6161
Footwear	599	**6569**

Outerwear	324	**6366**

Footwear and Outerwear have higher CLV despite smaller customer bases. This suggests an opportunity to increase category visibility and targeted marketing investment.

Underleveraged Segment # 3

Organic Demand States have high loyalty, low promo dependency and strong CLV.

Instead of spending the budget equally across all regions, we should increase ad spend, launch loyalty campaigns and introduce premium collections in Organic Demand regions first because these customers are more likely to become Platinum Champions.

Metric	Michigan	Arizona
CLV	**8082**	**7223**
Loyalty	**5.70**	**5.68**
Promo Dependency	**0.79**	**0.68**

They are among the strongest-performing states in terms of CLV, loyalty, and low promotional dependence. The business team should investigate the reason behind these factors and replicate them in other states.

These states already demonstrate strong organic demand. Increasing acquisition spend in these markets is likely to produce a higher return than investing equally across all regions.

Key Recommendations & Future Growth Strategy

- Gradually reduce discounts for promo-dependent At-Risk High-Value customers and replace them with loyalty rewards, exclusive benefits, and personalized engagement to improve margins without sacrificing revenue.
- Use promotions selectively for Low-Engagement Casuals and treat discounts as acquisition or reactivation tools rather than long-term retention strategies.
- Build future acquisition campaigns around the Platinum Champion profile, as this segment represents the brand's most valuable and loyal customers.
- Prioritize lookalike audience targeting based on Platinum Champions to attract customers with similar spending patterns, loyalty levels, and long-term value potential.
- Increase marketing efforts toward female customers, as they demonstrate significantly higher loyalty despite representing a smaller share of the customer base.
- Focus acquisition and retention initiatives in Organic Demand states, where customers already exhibit strong loyalty, high CLV, and lower promotional dependence.
- Increase visibility and marketing investment in Footwear and Outerwear, as these categories generate higher customer value despite having smaller customer bases.
- Shift from a discount-led growth strategy to a loyalty-led growth strategy, emphasizing customer experience, rewards, and brand preference over frequent promotional offers.
- Allocate promotional budgets more strategically, investing more in high-value and high-potential segments while reducing spending on customers who do not demonstrate long-term value.

- Continuously monitor loyalty, CLV, and promo dependency metrics to ensure that growth is driven by sustainable customer relationships rather than short-term promotional activity.